

The 60-second read

- 1. **July CPI landed exactly on consensus** — +0.1% m/m and 3.4% y/y headline, +0.2% m/m and 2.5% y/y core. Benign enough to take the edge off September *hike* risk, not soft enough to remove it.^[1]
- 2. **The Fed is debating a hike, not a cut.** Three regional presidents dissented for a 25bp rise at the July FOMC — the first three-way directional dissent since 2016 — nine days before payrolls printed **−23,000**. Implied odds of a September hike: 40–45%.^[2,6,7]
- 3. **AI infrastructure earnings drove the tape.** CoreWeave, Nebius and Super Micro all rallied hard on capex-durability signals. Leadership is narrow and thematic: one trade is manufacturing the index gains.^[9,11,12]
- 4. **Cisco beat on revenue, EPS and guidance — and fell 4.7% after hours** purely on gross margin compression (66.3% from 68.4%) from AI component costs. First clean case this cycle of the market punishing AI revenue because of what it costs to deliver.^[10]
- 5. **Copper hit a fresh Comex record** on the widest LME backwardation of the year, and the Strait of Hormuz crisis is unresolved. Hard-asset inflation is running well ahead of headline CPI.^[20,22]

1 MARKET RECAP — WEDNESDAY 12 AUGUST CLOSE

INDEX	CLOSE	CHG	%	RATE / VOL / FX	LEVEL	CHG
S&P 500	7,748.50	+20.30	+0.26%	2-yr Treasury	4.19%	−1bp
Nasdaq Composite	26,588.49	+143.04	+0.54%	10-yr Treasury	4.68%	lower
Dow Jones	53,770.27	−21.58	−0.04%	30-yr Treasury	5.24%	lower
Russell 2000	3,045.48	+18.37	+0.61%	VIX	14.55	−4.78%
Nasdaq 100	29,742.60	—	+0.5%	DX-Y	99.95	flat

No record close. Several outlets ran "S&P 500 hits record high" headlines. It did not. The record close is **7,757.64, set Friday 7 August**; Wednesday finished about 9 points short and was simply the first gain since that record.^[3,4,5]

Led: AI infrastructure and semis — CoreWeave, Nebius, Super Micro, Micron (+5%), Nvidia (+3%). Small caps beat large caps, consistent with lower rate-hike anxiety after CPI. **Lagged:** the Dow finished slightly red while the Nasdaq rose, so old-economy and defensive names sat out the rally. Cencora (−5.9%) and Neurocrine (−6%) fell on company-specific news.^[4]

Not available: a correctly dated 11-sector GICS table and NYSE advance/decline & new-high/new-low breadth for 12 Aug. Sector tables in circulation describe the 11 Aug session on inspection. Sector commentary above is directional, from the Reuters wrap.^[4]

2 MACRO, POLICY AND RATES

TOP July CPI in line across the board^[1]

MEASURE	M/M	CONS.	Y/Y
Headline CPI	+0.1%	+0.1%	+3.4%
Core CPI	+0.2%	+0.2%	+2.5%
Shelter two-thirds of the rise	+0.1%	—	+3.2%
Energy gasoline +24.6% y/y	−1.5%	—	+14.7%
Food	+0.1%	—	+3.0%
Airline fares	+2.2%	—	+25.5%

The monthly prints are calm but the disinflation is not broad — a single monthly energy drop does much of the work in the headline, while energy and airfares are still up double digits year on year.

TOP The Fed's hike-or-hold problem^[2,6,7]

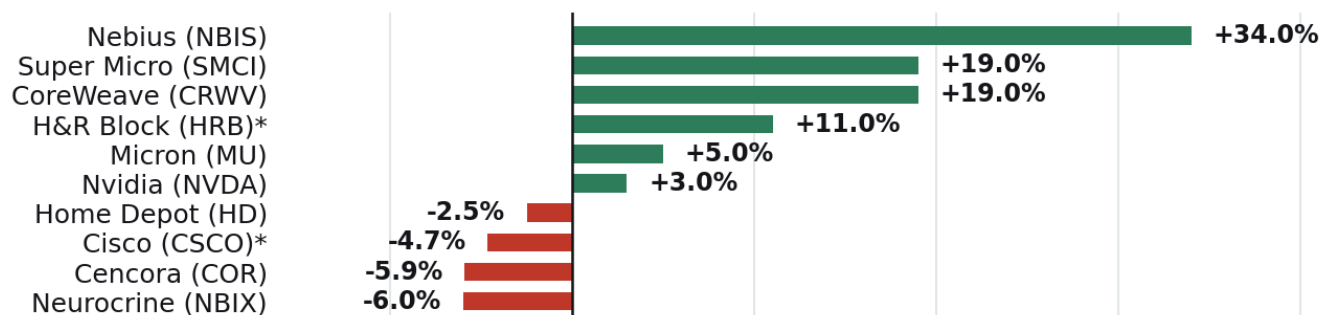
At the 28–29 July FOMC the Committee voted **9–3 to hold at 3.50–3.75%**. Hammack, Kashkari and Logan dissented in favour of a **25bp hike** — the first three-way directional dissent since September 2016. Nine days later July payrolls printed **−23,000** against consensus near +80,000, with May and June revised down a combined 74,000–103,000 and participation at 61.4%. A Fed with hawkish dissenters and a labour market shedding jobs is a stagflation-adjacent setup, and it caps the "Fed put" that normally backstops record highs. Every inflation and labour datapoint before the 16–17 September FOMC moves the odds. **Minutes land 19 August, 2:00pm ET.**

Hike odds are a range, not a point. CME FedWatch could not be fetched directly; secondary citations give 40% (CNBC, Motley Fool) to 45%, with roughly 60% expecting a hike by October.

Curve: 2s30s at ~105bp, yields slightly lower across the board. The front end is pricing a genuinely two-sided Fed, which is why yields are range-bound rather than trending.

3 EQUITIES AND EARNINGS

Biggest movers — 12 Aug session (* = after-hours move)



COMPANY	EPS VS EST	REVENUE VS EST	GUIDANCE / DETAIL	STOCK
CoreWeave (CRWV) ^[9]	-\$1.03 vs -\$1.22	\$2.58B vs \$2.56B	Revenue +112.5% y/y. Backlog \$104B (3x y/y) plus \$25B new commitments in early Q3. Q3 guide \$3.45-3.6B rev, \$11.5-13.5B capex.	+19%
Cisco (CSCO) ^[10]	\$1.22 vs \$1.17	\$17.3B vs \$16.8B	Beat and raised. AI orders \$4B in Q4, \$9.3B FY26. FY27 EPS guide \$5.05-5.11 vs \$4.83 Street. Gross margin 66.3% vs 68.4% on component/memory costs.	-4.66%*
Super Micro (SMCI) ^[11]	\$1.70 vs \$0.96	\$11.12B vs \$11.56B	Revenue missed 3.8%, margins expanded sharply. FY27 revenue guide \$65-72B.	+19%
Nebius (NBIS) ^[12]	-\$0.68 diluted	\$582.3M, +454% y/y	Adjusted EBITDA swung positive to +\$236.2M from -\$21.0M; net loss narrowed 64%.	+34%
Cava (CAVA) ^[13]	\$0.19 vs \$0.18	\$365.4M vs \$361M	Same-restaurant sales +9.0%, full-year guidance reaffirmed.	+10-16%
H&R Block (HRB) ^[14]	\$2.38 vs \$2.21	\$3.95B FY	FY27 EPS guide \$6.04-6.24 vs \$5.86 Street. Dividend raised 10% to \$0.46/qtr.	+11%*
Performance Food (PFGC) ^[15]	\$1.59 vs \$1.60	\$18.03B vs \$18.09B	Q1 and FY27 sales guidance both below consensus.	-2 to -4.5%

* after-hours move. Nebius and Cava reactions varied materially across outlets (Nebius +16% to +34%); figures shown are from the Reuters close-of-session wrap.^[4]

The Cisco signal. A 210bp gross margin decline was enough to override a revenue beat, an EPS beat, raised guidance and \$9.3B of AI orders. Memory and component inflation is supply-chain-wide, so the read-through runs to every networking and hardware vendor. Applied Materials reports Thursday after the close with a 10.4% implied move and inverted options skew (1 call to 2.4 puts) — the next test of the same thesis.^[10,34]

Non-earnings corporate news MEDIUM

- Home Depot (-2.5%)** — CEO Ted Decker began a medical leave expected to last months, six days before Q2 earnings; two executives named interim co-leads. Leadership uncertainty at a key housing and consumer bellwether right before its print.^[16]
- Cencora (-5.92%)** — disclosed non-core business tied to Walgreens transferring to third parties; FY guidance reaffirmed. Company-specific, not a sector signal (healthcare services rose 0.86%).^[17]
- Neurocrine (-6%)** — Stat News reported 7 patient deaths and 100+ serious adverse events in FDA's system tied to Vykat through 31 July. No causal link established; label changes under consideration.^[18]
- Alphabet** restructured Google DeepMind leadership over AI product delays. **Wendy's** — reports Trian may pursue a privatisation bid. **Trump Media** sued by press-freedom groups over an early-access programme.^[4]

4 COMMODITIES AND FX

Hard assets — price change over one year



TOP Oil: a 17.4 million barrel build could not push crude down^[19,20,21]

WTI traded around **\$83.78 (+0.67%)** and Brent around **\$89.26 (+0.33%)**. The EIA reported a **+17.4 million barrel** crude build for the week ended 7 August — a very large surprise — and prices dipped only briefly before recovering. When a build that size cannot move the price, the geopolitical risk premium is dominating the physical balance: oil is trading on headlines, not inventories.

Hormuz traffic is running at roughly **10 vessels per day against 130 pre-conflict**, flows 7-9 mb/d versus 20 mb/d normally. On 12 August a Houthi strike in Bab al-Mandeb killed six and US Central Command disabled a vessel breaching the blockade of Iranian ports. Iran-Oman talks are described as advanced, but Iran ties reopening to the US lifting its blockade. OPEC+ added 188 kb/d for August. A credible reopening is a sharp downside gap risk, escalation the reverse — the largest single tail risk in this report.

METAL	LEVEL NOTE	PAIR	LEVEL	DAY
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Copper (Comex Sep) [22]	\$6.7140/lb	Fresh record. LME cash backwardation \$207.50, widest of 2026; LME stocks –14% since end-July. Chile cut output guidance a second straight quarter; Indonesia's Gresik smelter offline since 8 Aug. Genuine physical scarcity, not speculation — an input-cost problem for electronics, construction and autos that will not reach CPI for months.
Gold (Dec fut) [23,24]	\$4,430–4,470	10-week high, +7.3% on the week. Record is \$5,589.38 set 28 Jan 2026 — well below it.
Silver (Sep fut) [23]	\$66.49/oz	+72.8% over one year. Monetary and industrial demand both firing.
Aluminium [8]	\$3,306.75/t	–1.60% on the day, +4.79% on the month.
Nat gas [8]	\$2.79/MMBtu	+0.96%; inventories 6.6% above the 5-year average.

DXY	99.95	flat
EUR/USD	1.1522	–0.03%
GBP/USD	1.3510	+0.02%
USD/JPY	159.23	–0.04%
USD/CNY	6.7459	–0.01%
Bitcoin	\$64,194	–0.6%
Ethereum	\$1,915	+0.5%

Yen watch. Japan and the US confirmed a rare **joint intervention** around 3 August. USD/JPY at 159.23 has retraced roughly **half** the intervention-driven gains. If the carry trade is re-engaging into a weakening yen despite intervention, unwind risk is rebuilding — prior unwinds produced fast cross-asset drawdowns. [26]

Ag. The August WASDE raised corn to 16.013bn bu and soybeans to **4.519bn bu, the largest US crop on record**; wheat trimmed to 1.531bn bu. Cheap gas and record soy/corn are real disinflationary offsets to the metals and energy story. [25]

5 DERIVATIVES, VOLATILITY AND POSITIONING

MEASURE	LEVEL	READ
VIX spot [3]	14.55	–4.78% on the day
VIX Sep future [27]	18.08	+3.5pt basis, steep contango
SPX net gamma [28]	+\$81.7B	Long-gamma regime (11 Aug)
Gamma flip [28]	7,693	Spot 55 pts above it
HY OAS [30]	2.72%	+2bp off the week's tights
IG OAS [30]	0.79%	Near multi-decade tights
SOFR [31]	3.64%	Steady
ON RRP [30]	\$1.25bn	Effectively zero
Bank reserves [31]	\$2.99T	–\$8.8bn w/w (5 Aug)

Dealers are long gamma. Net SPX gamma of +\$81.7B means dealers mechanically buy dips and sell rallies, suppressing realised volatility — consistent with a sub-15 VIX and the market's grind-higher behaviour. **The level to watch is 7,693:** below it dealers flip short gamma and the same mechanic starts amplifying moves instead of damping them. [28]

Leveraged funds are short the index. Latest CFTC data (positions 4 Aug, published 7 Aug) shows leveraged funds **–316,802 contracts net short** S&P futures, a deterioration of 34,446 on the week, against asset managers at +935,057 net long. Shorts building into a market at record highs is a squeeze setup. Gold managed-money longs sit at the 100th percentile of six months, an unwind risk. The dollar's leveraged net long is short-covering driven (6,712 covered vs 1,256 new longs), not conviction. Next report Friday 14 August; the Tuesday-data, Friday-publication lag makes this a stale snapshot by construction. [29]

Funding. Near-zero RRP with SOFR close to administered rates puts reserves in "ample but thinning" territory. Nothing is stressed today, but that is the pre-condition that preceded repo dislocations in September 2019 and late 2025. [30,31]

Structural: CME Securities Clearing filed its SPAN 2 margin policy for Treasury clearing with the SEC (7 Aug), targeting coverage of 99%+ of daily price moves on a two-business-day margin period of risk. Affects dealer and hedge-fund funding costs and Treasury basis-trade economics. [32]

6 THE DAY AHEAD

TIME (ET)	EVENT	CONS.	PRIOR	WHY IT MATTERS
08:30	PPI, July (m/m)	+0.2%	–0.3%	Last inflation print before the 19 Aug minutes. A hot number puts September hike odds straight back up.
08:30	Core PPI (m/m)	+0.3%	+0.2%	Feeds directly into PCE estimates.
08:30	Initial jobless claims (continuing 1,800K vs 1,801K)	202K	199K	High scrutiny after the –23K payrolls shock; now a weekly Fed-odds mover. Barkin speaks 08:40 — non-voter, colour not signal.
13:00	30-year bond auction	—	—	Closes the quarterly refunding. Weak demand pressures the long end.
Pre-open	JD.com (JD)	—	—	China consumer read.
After close	Applied Materials (AMAT)	—	—	10.4% implied move, inverted skew. Semicap read-through and a test of the Cisco margin story.
Fri 14, 08:30	Retail sales, July (CFTC COT also released)	+0.2/+0.3%	+0.2%	The "is the consumer cracking" read after weak payrolls. COT covers positions as of Tue 11 Aug.
Wed 19, 14:00	FOMC minutes	—	—	Reasoning behind the three hawkish dissents. Biggest scheduled event on the horizon.
Fri 21	Monthly options expiry	—	—	Gamma unwind and pinning risk.

Overnight **LOW CONFIDENCE — SINGLE SOURCE** US futures mixed early Thursday: S&P +0.03%, Nasdaq 100 +0.54%, Dow –0.07%. Asia: KOSPI +3.76% on Samsung and SK Hynix, Nikkei +1.45%, CSI 300 +0.05%. BoJ signalled faster hikes; yen still weakened. Single outlet, not cross-confirmed. [36]

ANNEX A WHAT THIS BRIEFING COULD NOT VERIFY

Listed so you know what is missing rather than assuming full coverage. Nothing below has been estimated or inferred. **Equities** — a correctly dated 11-sector GICS table and NYSE advance/decline and new-high/new-low breadth for 12 Aug. **Volatility** — VVIX, the MOVE index and the CBOE daily put/call ratio; no fetchable numeric print for 12 Aug. **Positioning** — CFTC crude oil net positioning and specific large block options trades; dealer gamma comes from a third-party analytics provider rather than an exchange and is dated 11 Aug. **Credit** — weekly IG/HY new issuance volumes. **Rates** — official CME FedWatch probabilities; the page could not be fetched, so hike odds are given as a 40–45% range from secondary citations that disagree. **Central banks and trade policy** — no ECB, BoE or PBoC decisions or commentary, and no new tariff action, were found in the window. That is a gap in coverage, not confirmation nothing happened. **Commodities** — official CME/ICE settlement prices for WTI and Brent; figures shown are intraday snapshots.

ANNEX B SOURCES

[1] BLS — July CPI release

[2] Federal Reserve — FOMC statement, 29 Jul 2026

[3] AP — "How major US stock indexes fared Wednesday 8/12/2026" (via Yahoo, Washington Post)

[4] Reuters market wrap, 12 Aug (via MarketScreener)

[5] AP — indexes fared Friday 8/7/2026 (record close 7,757.64)

[6] CNBC; Motley Fool — Sept hike odds (CME FedWatch, secondary)

[7] NBC News; CNBC — July 2026 employment report

[8] Trading Economics — yields, FX, aluminium, natural gas

[9] CNBC and Benzinga — CoreWeave Q2 2026 results

[10] SiliconANGLE; StreetInsider; Blockonomi — Cisco Q4 FY26

[11] 24/7 Wall St — Super Micro Q4 FY26

[12] TradingKey; Investing.com transcript — Nebius Q2 2026

[13] BigGo Finance; Seeking Alpha — Cava Q2 2026

[14] GlobeNewswire; ts2.tech — H&R Block FY26

[15] Benzinga — Performance Food Group Q4 FY26

[16] Bloomberg; CNBC; Home Depot IR — CEO medical leave

[17] TradingKey; GuruFocus — Cencora disclosure

[18] Investing.com / Stat News — Neurocrine, Vykat

[19] EIA Weekly Petroleum Status Report (via OilPrice.com)

[20] Al Jazeera; CBS News; CNBC — Hormuz and Red Sea

[21] OPEC press release, 2 Aug 2026; Enerdata

[22] Mining.com — Comex copper record, LME backwardation

[23] Yahoo Finance — gold, silver, crypto pricing, 12 Aug

[24] CBS News — gold all-time record \$5,589.38, 28 Jan 2026

[25] DTN/Progressive Farmer — USDA August 2026 WASDE

[26] Al Jazeera; CNBC — US-Japan joint yen intervention, 3 Aug

[27] Barchart — VIX September 2026 future

[28] FlashAlpha SPX analytics, 11 Aug (third-party, not exchange data)

[29] SmartFlow Trading COT analysis; CFTC release schedule

[30] FRED — BAMLH0A0HYM2, BAMLCOA0CM, RRPONTSYD

[31] SOFRrate.com (NY Fed); Federal Reserve H.4.1, 6 Aug

[32] Federal Register 2026-16098 — CME Securities Clearing margin policy

[33] Investing.com — US economic calendar, 13–14 Aug

[34] Benzinga — AMAT implied move; Market Rebellion — options skew

[35] Macroption — options expiration calendar

[36] Business Standard — Asia and US futures, 13 Aug

Method. Publicly available sources only. Where sources disagreed the more authoritative one was used and the disagreement disclosed; unverifiable figures are listed in Annex A rather than estimated. Interpretation appears only where a number is meaningless without it, and is not investment advice. Edition 1 sets the baseline; later editions run from the prior cutoff.